Statement of the Association of National Advertisers (ANA) to the California Privacy Protection Agency on the Proposed Regulations Implementing the California Privacy Rights Act of 2020

August 24/25, 2022

Good Morning and thank you for the opportunity to testify on the proposed regulations to implement the California Privacy Rights Act of 2020. My name is Travis Frazier, and I am the Manager of Government Relations at the Association of National Advertisers -- the "ANA."

The ANA serves the marketing needs of 20,000 brands with a membership consisting of U.S. and international companies, including hundreds based in California. Our members collectively invest more than $400 billion in marketing and advertising annually.

The ANA and our members believe that protecting consumer privacy is of paramount importance. We have filed more detailed comments in writing; however, I would like to take the time today to highlight several areas we believe are critical.

First, the CPRA set forth a timeline for finalizing regulations by July 1, 2022, followed by Agency enforcement a year later. This timeline would have provided a 1-year ramp-up period for businesses to comply with new mandates. Unfortunately, given the delay in finalizing regulations, companies will not have a full year to operationalize the requirements as intended by the law. **As a result, we urge the Agency to delay enforcement until one year following the finalization of regulations.**

Second, the Agency should promulgate regulations that are consistent with the plain text of the CPRA. Several provisions in the proposed regulations contradict the clear text of the law.

For example, **the "necessary and proportionate" standard in Section 7002 should be aligned with the plain text of the CPRA.** The proposed regulations would tie "necessary and proportionate" data collection, use, and retention to a vague "average consumer expectation" standard that is not present in the text of the CPRA and would read the role of notice out of the law. The section should be amended to match the CPRA by tying "necessary and proportionate" to the purposes disclosed to consumers in applicable notices.

Additionally, the proposed regulations' approach to opt-out preference signals conflicts with the text of the law. The proposed regulations make adherence to opt-out preference signals mandatory when the CPRA clearly gives businesses the choice to either accept such signals or provide consumers the ability to opt out via a clearly labeled link. The Agency should update the proposed regulations to reflect this clear option set forth in the CPRA.

Additionally, the Agency should promulgate regulations to clarify key safeguards set forth in the CPRA for businesses' evaluation of such optional opt-out preference signals—namely, safeguards to ensure such signals are true expressions of consumer choice, not set by default, and do not disadvantage certain businesses in the marketplace.

Finally, mandating that opt-out requests be sent downstream is inconsistent with consumer choice and the CPRA's text. Requiring businesses to forward opt-out requests to other businesses in the marketplace could contravene consumer choice. When a consumer submits an opt-out choice to one business, the consumer expects that choice to apply to that business, not the entire marketplace. Additionally, the CPRA does not require businesses to forward opt-out selections to others. The statute clearly includes such a requirement for deletion requests, but it makes no similar mandates for opt out requests. The Agency should consequently remove the proposed rule requiring businesses to forward opt-out requests downstream.

The Agency should remove Section 7050(c) because it is duplicative and unnecessary. The section merely restates the CPRA, which prohibits entities from acting as "service providers" to provide "cross-context behavioral advertising" services. The CPRA and the proposed regulations reconfirm that service providers may provide "advertising and marketing" services subject to specific limits set forth in the text of the CPRA. Because the section is duplicative of the CPRA and provides no additional clarity, it is unnecessary, and the Agency should remove it from the text of the regulations.

It is ANA's hope that the Agency will develop reasonable regulations that protect consumer privacy and allow businesses to continue to innovate, subsidize the economy, and facilitate consumers' access to a wealth of information online. The Agency should avoid rules that would significantly reduce the use and value of consumer data. Overly broad regulations would significantly hinder business operations, kill small and start-up businesses, and deprive Californians of benefits and advantages they currently receive through access to an open and largely free Internet ecosystem. Consumers will also certainly feel the effects of the CPRA, which will raise the cost of doing business in California.

Thank you for the opportunity to speak to you today, and we look forward to continuing to work with you during the rulemaking process.